

INDUSTRIAL TRAINING PROJECT REPORT

Stock Market Trading and Analysis

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Project 2: Fundamental Valuation and Financial Modelling

2.1 Filing-Based Historical Analysis

The historical model is grounded in Apple's SEC filings rather than commentary or social-media sentiment. Revenue, gross profit, operating income, net income, operating cash flow, capital expenditure and diluted EPS were extracted for FY2023–FY2025. Free cash flow is defined as cash from operations less purchases of property, plant and equipment.

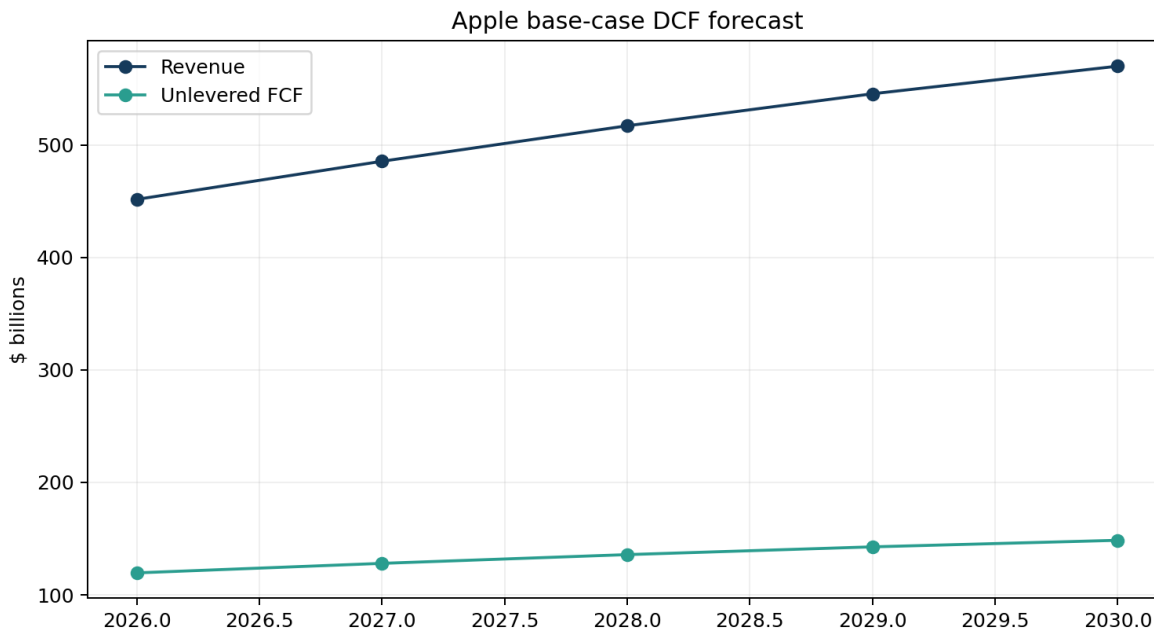
FY	Revenue \$bn	Gross margin	Operating margin	Net income \$bn	FCF \$bn	Diluted EPS
2023	383.3	44.1%	29.8%	97.0	99.6	\$6.13
2024	391.0	46.2%	31.5%	93.7	108.8	\$6.08
2025	416.2	46.9%	32.0%	112.0	98.8	\$7.46

Apple's revenue resumed growth in FY2025 and operating cash generation remained substantial. Nevertheless, financial quality and investment value are not the same question. A durable franchise can still be an unattractive purchase when the market price already discounts unusually strong future performance.

2.2 DCF Assumptions and Mechanics

The DCF forecasts five years of revenue and unlevered free cash flow. Revenue growth declines from 8.5% to 4.5%, EBIT margin eases from 32.0% to 31.5%, the tax rate is 16.0%, D&A equals 3.0% of revenue, capex equals 3.2%, and incremental working capital equals 0.2%. Cash flows are discounted at a 9.0% WACC. Terminal value uses the Gordon growth method with 3.0% perpetual growth.

Figure 4. Apple base-case revenue and unlevered free-cash-flow forecast



Source: Calculated by the researcher from the market-data inputs supplied with the model.

2.3 Valuation Result

Valuation component	Base-case result
PV of forecast free cash flow	\$519.94
PV of terminal value	\$1,657.1bn
Enterprise value	\$2,177.0bn
Net cash/(debt)	\$-16.20
Equity value	\$2,160.8bn
Intrinsic value per share	\$146.79
30% margin-of-safety price	\$102.76
Market price	\$331.81

The base case produces an intrinsic value of \$146.79 per share, compared with a market price of \$331.81. The implied downside is 55.8%. Applying a 30% margin of safety reduces the maximum purchase price to \$102.76. On these assumptions, the formal conclusion is SELL/AVOID. This does not

suggest that Apple is a weak business; it indicates that the observed market valuation requires a more optimistic growth, margin or discount-rate outlook than the conservative base case.

2.4 Relative Valuation

Company	P/E	P/B	EV/EBITDA
AAPL	40.2x	66.3x	34.1x
MSFT	26.8x	9.8x	26.2x
GOOGL	16.7x	9.8x	31.7x

Apple's P/E and EV/EBITDA exceed the corresponding Microsoft and Alphabet measures in this snapshot. Its very high P/B partly reflects extensive repurchases that have reduced book equity, so P/B is less economically informative than cash-flow multiples. Even so, the comparison supports the DCF's central finding: the shares embed a substantial quality premium.

2.5 Sensitivity and Limitations

DCF conclusions are highly sensitive to WACC and terminal growth because terminal value represents a large proportion of enterprise value. The Excel workbook therefore includes a full 5×5 sensitivity matrix. The model is intentionally transparent rather than falsely precise: it does not attempt to forecast each Apple product category, foreign-exchange movement or future buyback. A different but reasonable assumption set can produce a materially different value, which is why the conclusion should be treated as scenario-dependent.

Sources

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